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LAKE

HUGHES RECOVERY v. COUNTY OF LOS ANGELES, et al. [25STCV05368]

DEFENDANT

COUNTY OF LOS ANGELES'S MOTION FOR SUMMARY JUDGMENT OR, IN THE ALTERNATIVE,
SUMMARY ADJUDICATION AS TO THE FOURTH AMENDED COMPLAINT

TIMELINE:

Contract for Medi-Cal treatment on behalf of the County

5/11/2021: Plaintiff Lake Hughes Recovery ("LHR") and Defendant County of Los Angeles (the "County") enter a written "Contract ... For Drug Medi-Cal Organized Delivery System Substance Use Disorder Treatment Services" (the "Contract"), under which LHR agrees to provide substance abuse treatment services to Medi-Cal patients on behalf of the County. (Def. Exh. 2; Deniz Decl., ¶ 5; see FAC, ¶ 7, Exh. A.) The parties agree that the Contract will be effective upon execution through June 30, 2024, unless terminated or extended. (Def. Exh. 2, § 4; Deniz Decl., ¶ 6.) The parties also initially agree that the "maximum obligation amount" for the County under the Contract would not exceed \$150,000 for each fiscal year. (Def. Exh. 2, § 5; Deniz Decl., ¶ 8.)

5/2021 to 6/2022: LHR does not provide any services pursuant to the Contract, so no payments were owed or made by the County. (Deniz Decl., ¶ 16.)

8/17/2022: LHR and the County execute Amendment

No. 1 to the Contract to revise the Statement of Work, adding recovery support services care for both outpatient and residential services. (FAC, ¶ 8; Def. Exh. 3, at pp. 1, 19, Exh. A.1; Deniz Decl., ¶ 12.)

9/6/2022: LHR and the County execute Amendment

No. 2 to the Contract, increasing the County's maximum obligation to LHR from \$150,000 to \$3,150,000 for the fiscal year beginning July 1, 2022 through June 30, 2023. (Def. Exh. 4, at pp. 1-2, Exh. C.1; Deniz Decl., ¶ 13; see FAC, ¶ 8.)

7/1/2022 to 6/30/2023 [2022-2023 Fiscal Year]:

The County fully pays LHR for the services provided and billed for this fiscal year. (Deniz Decl., ¶ 17.)

8/15/2023: LHR and the County execute Amendment

No. 3 to the Contract, amending specific provisions including Paragraphs 17, 29, 32, 36, 44, 48, 57, 62, 67, and 84 and deleting Paragraphs 49 and 73. (Def. Exh. 5, at pp. 1-14; Deniz Decl., ¶ 14.)

10/26/2023: LHR and the County execute

Amendment No. 4 to the Contract, increasing the County's maximum obligation to LHR for the fiscal year beginning July 1, 2023 through June 30, 2024 (the "2023-2024 fiscal year") to \$4,089,947 (the "Maximum Obligation"). (Def. Exh. 6, ¶ 2; Deniz Decl., ¶ 15; see FAC, ¶ 11;.)

10/31/2023: LHR receives a letter from the County

notifying LHR that its contract amendment application to add a Recovery Bridge Housing ("RBH") site with 24 contracted beds had been approved, with an effective date of August 31, 2023 (the "Recovery Bridge Amendment"). (Frankian Decl., Exh. 1; see FAC, ¶ 13, Exh. F.)

7/1/2023 to 6/30/2024 [2023-2024 Fiscal Year]: The

County pays LHR for the Maximum Obligation of \$4,089,947 for this fiscal year. (Deniz Decl., ¶¶ 18-19; Def. Exh. 7, at pp. 51:6-52:2.) LHR alleges that it also provided additional "pre-approved and pre-authorized" services during this billing period, which the County refused to reimburse. (FAC, ¶¶ 18, 20.) In particular, LHR alleges that the County refused to reimburse LHR for services provided through the "approved" RBH location. (Id. ¶ 24.)

12/2023:

LHR applies for an Augmentation (additional funding) under the

Contract

for the 2023-2024 fiscal year. (Brown Decl., ¶ 40.)

1/22/2024:

The County notifies LHR that its request for additional funds

was

denied “at this time” until the County’s Substance Abuse Prevention and Control Bureau (“SAPC”) determined whether LHR had addressed the Corrective Action Plan (“CAP”) “to the satisfaction of the County.” (Def. Exh. 10; Deniz Decl., ¶ 21.)

In the letter, the County also notified LHR that there was no contractual amendment related to RBH because the parties had never executed an existing RBH work order contract, meaning that the effective date of the so-called “amendment” approved in the October 31, 2023 letter was deemed incorrect. (Ibid.)

3/28/2024:

The County receives a report from the Auditor Controller detailing

issues

related to LHR’s finances. (Deniz Decl., ¶ 22, Exh. 8; Buenaventura Decl., ¶ 7.)

Thereafter, the County attempts to assist LHR to resolve the financial non-compliance by meeting with LHR representatives and explaining the acceptable documentation to support expenditures. (Deniz Decl., ¶ 24; Buenaventura Decl., ¶¶ 8-9; Def. Exh. 9.)

5/8/2024:

Theodore Buenaventura, the Supervisor of SAPC’s Fiscal Compliance

Unit,

emails LHR to explain the unresolved financial issues. (Buenaventura Decl., ¶ 11; Def. Exh. 9.)

6/24/2024: The County informs LHR that the CAP was denied, and thus, LHR’s Augmentation application for additional funding was also denied. (Aghamalian Decl., ¶ 4, Exh. 1.)

6/25/2024: The County notifies LHR that the Contract would not be renewed and invites LHR to submit final invoices for unpaid services to the County within 60 days. (Brown Decl., ¶¶ 9-10, Exh. 1.)

6/30/2024: Contract is terminated by its own terms. (Def. Exh. 2, § 4.)

5/5/2025: The County places LHR in the County's Contractor Alert Reporting Database ("CARD"), a public list of providers that the County considers either untrustworthy or financially incapable of providing for patients. (Brown Decl., ¶ 57.)

2/25/2025: LHR files the Complaint. The operative Fourth Amended Complaint ("FAC")[1], filed 3/20/2026, alleges causes of action for:

1. Breach of Written Contract
2. Breach of the Implied Covenant of Good Faith and Fair Dealing
3. Common Counts
4. Promissory Estoppel
5. Defamation[2]

5/11/2026: The Court enters a ruling on the County's demurrer to the FAC, overruling as to the first and second causes of action and sustaining without leave to amend as to the third and fourth causes of action.

6/8/2026: The County files this Motion for Summary Judgment, followed by LHR's Opposition (8/24/2026) and the County's Reply (9/8/2026).

TENTATIVE

RULING: DEFENDANT COUNTY OF LOS ANGELES'S MOTION FOR SUMMARY JUDGMENT is GRANTED.

I. MOTION
FOR SUMMARY JUDGMENT

The

County moves for summary judgment, or alternatively, summary adjudication with respect to LHR's two remaining causes of action against the County. Both causes of action arise out of the County's alleged refusal to pay for services provided by LHR during the 2023-2024 fiscal year. (FAC, ¶ 18.) Based on the analysis below, the County's motion for summary judgment is GRANTED.

A.

1st

Cause of Action: Breach of Written Contract — GRANTED

No

triable issues of material fact exist with respect to LHR's breach of written contract claim against the County. In its first cause of action, LHR alleges that the County breached the Contract, Amendment Nos. 1-4, and the Recovery Bridge Amendment by: (1) refusing to pay for "pre-approved and pre-authorized" treatment services rendered by LHR, (2) improperly withdrawing approval of payments after authorizing billing invoices and underlying services, (3) refusing to allow LHR to provide services through its RBH location, and (4) failing to pay for billed services under the Recovery Bridge Amendment. (FAC, ¶¶ 20-21, 24.)

1. LHR Fails to Dispute That The County Paid Its Maximum Obligations Under the Contract and Amendment Nos. 1-4

The

County argues that LHR cannot establish that the County breached its obligations under the Contract because the evidence shows that the County completely performed its obligations under the Contract (and its valid Amendments) by paying the Maximum Obligation to LHR in full. (Mot., at p. 8.)

Section

5 of the Contract[3] defines

the "Maximum Obligation of the County" for each fiscal year during the Contract term. (Def. Exh. 2, § 5(A)-(D).) Section 5 also states that LHR "shall not be entitled to payment or reimbursement for any tasks or services performed, nor for any incidental or administrative expenses whatsoever incurred in, or incidental to performance hereunder, except as specified herein and as described in Exhibit A, Statement of Work," which defines the scope of medically necessary substance use disorder treatment (as amended in Amendment No. 1). (Id. § 5(E), Exh. A; Def. Exh. 3.) As relevant here, Amendment No. 4 amends the

County's Maximum Obligation for the 2023-2024 fiscal year to \$4,089,947. (Def. Exh. 6, ¶¶ 2-4.)[4]

Here, the

County submits affirmative evidence to suggest that it paid LHR at least \$4,089,947 for services performed and billed during the 2023-2024 fiscal year. First, the County submits the declaration of Daniel Deniz, who worked as the Chief of Finance for the SAPC's Finance Services Division for the relevant time period and served as one of the points of contact between the County and LHR for the Contract's term. (Deniz Decl., ¶¶ 3-4.) Mr. Deniz declares that the County "fully paid" to LHR, "at least, the maximum obligation of four million, eighty-nine thousand, nine hundred forty-seven dollars (\$4,089,947)" for the 2023-2024 fiscal year to fully satisfy its Maximum Obligation under Amendment No. 4. (Id. ¶¶ 18-19.) Second, LHR's founder and former CEO, Alex Frankian, testified that "[the] contract amount was approximately a little over \$4 million. We had ... exhausted that money," meaning LHR "had provided the services and billed for that amount." (Def. Exh. 7, at p. 51:18-24.) Mr. Frankian also admits that LHR was "eventually" paid for those services. (Id. at pp. 51:25-52:2.) Taken together, the consistent testimony from representatives for both the County and LHR that the full contract amount was ultimately paid to LHR is sufficient to make a prima facie showing that the County performed its obligation under the Contract by paying the Maximum Obligation for the 2023-2024 fiscal year. Thus, the burden shifts to LHR to raise a triable factual dispute with respect to the County's payment.

In

response, LHR argues that Mr. Frankian's testimony is insufficient to overcome the County's moving burden with respect to its payment of the Maximum Obligation. (Opp., at p. 2.) While Mr. Frankian misidentifies the relevant fiscal year as 2024-2025 instead of 2023-2024, it is reasonable to infer that this reference was merely a mistake in communication rather than a genuinely disputed fact, because the Contract expired at the end of the 2023-2024 fiscal year and Mr. Frankian's approximation of \$4 million is consistent with value of the County's Maximum Obligation under Amendment No. 4, which pertains to the 2023-2024 fiscal year. (Def. Exh. 7, at p. 51:18-24; Def. Exh. 2, § 4.) Moreover, LHR's argument that the County fails to overcome its moving burden entirely ignores the declaration of Mr. Deniz. A moving defendant is only required to set forth prima facie evidence that a plaintiff will be unable to prove an essential element of their claim. (See e.g. Barak v. The Quisenberry Law Firm (2006) 135 Cal.App.4th 654, 661.) Here, the testimony

of Mr. Deniz and Mr. Frankian, together, makes an adequate prima facie showing that the County paid the Maximum Obligation to shift the evidentiary burden to LHR. Because LHR does not submit any responsive evidence to suggest that this payment was not timely made in full, LHR fails to raise a genuine factual dispute as to the County's performance of its Maximum Obligation under the Contract.

2. LHR Fails to Demonstrate that the County's Maximum Obligation Can Be Waived by Conduct or that the County Otherwise Agreed to Increase the Maximum Obligation

Notwithstanding

the above, the larger dispute here is whether the County's payment obligations under the Contract were limited only to the Maximum Obligation. On the one hand, the County argues that it cannot, as a matter of law, be required to pay more than the expressly contracted-for Maximum Obligation. (Mot., at pp. 8-9.) On the other hand, LHR argues that the County's conduct with respect to the unpaid services for the 2023-2024 fiscal year served as a waiver of the County's right to assert the Maximum Obligation as a limit to its payment obligations under the Contract. (Opp., at p. 3.)

The

County primarily relies on *Katsura v. City of San Buenaventura* (2007) 155 Cal.App.4th 104 (*Katsura*) to argue that a public entity, like the County, cannot be required to pay amounts above the maximum payment obligation set forth in a municipal contract. (Mot., at pp. 8-9; see Deniz Decl., ¶ 2.) In *Katsura*, a consultant filed suit against a city for money due under an agreement after the city refused to pay for extra consulting work that had been performed after oral authorization by the city's agents, but which was not expressly specified in the parties' written contract. (*Katsura*, supra, 155 Cal.App.4th at p. 106.) The Second District Court of Appeal affirmed a judgment awarding the consultant only the amount remaining due under the written contract itself, but not the additional amount for extra work not covered by the contract's express terms. (*Ibid.*) Like the Contract here, the *Katsura* contract specified a "maximum amount" that the city would pay the consultant for services. (*Ibid.*) The *Katsura* contract also provided requirements for contract modifications, namely that modifications could only be made by mutual written consent. (*Ibid.*) After the city made a series of payments on the consultant's invoices, the city ultimately refused to fully pay the final invoice because it included work that was not authorized by the written

contract and sought payments over the city's maximum contract amount. (Id. at p. 107.) The court ultimately concluded that the city was not required to pay the consultant for the extra work not expressly covered by the contract because the consultant "did not follow the procedure set forth in the contract to obtain authorization for special work," he merely performed work at the request of the city's agents, which did not constitute a formal modification of the contract itself. (Id. at p. 108.)

The

County also relies on *P&D Consultants, Inc. v. City of Carlsbad* (2010) 190 Cal.App.4th 1332 (P&D Consultants), which also held that an oral authorization for work beyond that contemplated in the written contract was insufficient to bind a public entity where the "plain language of the contract limits the city's power to contract to the prescribed method." (Id. at pp. 1341-1342.) As the P&D Consultants court explained, "while *Katsura* does not involve the issue of whether a written modification requirement in a public contract can be modified through the parties' conduct, its reasoning applies equally to modification through conduct. Whether a claimed modification is oral or through conduct, the party contracting with a public agency is charged with the knowledge of public contracting law. Perhaps there is even a greater reason for not allowing modification through conduct, as that is a more nebulous concept potentially subject to abuse than an oral modification." (Id. at p. 1341.)

In

response, LHR argues that *Katsura* and P&D Consultants are distinguishable, because those plaintiffs' payment requests were based only on the oral authorization of additional work, and in the case of *Katsura*, the plaintiff did not seek formal written authorization for the work in advance of performance. (Opp., at pp. 7-8.) Here, LHR alleges that, irrespective of the Maximum Obligation, the County expressly "pre-approved and pre-authorized" LHR's services during the 2023-2024 fiscal year, invited LHR to submit additional unpaid invoices even after the Contract's expiration, and authorized billing for those services. (Mot., at p. 3.) LHR relies on the declaration of Lisa Jackson Zeno, a medical biller for LHR from August 2023 through September 2024, and the declaration of Nicholas Brown, the CEO of LHR during the relevant time period. (Jackson-Zeno Decl., ¶ 3; Brown Decl., ¶ 3.) These witnesses declare that it was LHR's regular practice to first obtain the County's authorization to treat patients and to bill for those services on the County's SAGE program using

County-generated authorization numbers. (Jackson-Zeno Decl., ¶¶ 6, 8; Brown Decl., ¶ 7.) On June 25, 2024, Mr. Brown explains that the County notified LHR that it would not be renewing the Contract for the 2024-2025 fiscal year, but consistent with Section 6(H)[5],[6], the County invited LHR to submit its final invoices for unpaid services to the County and granted LHR access to SAGE for billing submissions through August 31, 2024. (Id. ¶¶ 9-14, Exh. 1.) On August 12, 2024, LHR submitted billing on SAGE for unpaid services (with County-generated authorization numbers) performed between August 7, 2023 and June 28, 2024. (Jackson-Zeno Decl., ¶¶ 8-9, Exh. 1.) In response, on August 16, 2024, the County notified LHR that it would approve \$1,520,386.75 in payment for LHR's August 12, 2024 billing submission but would deny \$163,327.35 thereof. (Id. ¶ 10, Exh. 2; Brown Decl., ¶¶ 19-21, Exh. 3.) Based on these facts, LHR essentially argues that unlike the public entities in Katsura and P&D Consultants, here, the County provided written pre-authorization of treatments, billing, and payments, enabled LHR to submit billing invoices for such services, and approved certain invoices, thereby suggesting that the County was acting in a manner inconsistent with any payment cap under the Contract. (Mot., at p. 3.) Thus, LHR contends that the County, through its conduct, intentionally relinquished its right to invoke the Maximum Obligation to limit Contract payments for LHR's "authorized" services.

Notwithstanding, the Court finds that LHR's argument is overly narrow, disregards the express terms of the Contract, and is unsupported by any relevant legal authority. As summarized above, Katsura and P&D Consultants stand for the proposition that modifications to a municipal contract must comply with public contracting law and are limited by the public entity's actual authority to contract. In both cases, the court determined that the plaintiffs' failure to comply with the express requirements for contract modification, as set forth in the underlying contracts, warranted the city's refusal to pay for the additional work even where the additional work was informally authorized.

"Certain general principles have become well established with respect to municipal contracts.... [¶] ... [¶] ... It is ... settled that the mode of contracting, as prescribed by the municipal charter, is the measure of the power to contract; and a contract made in disregard of the prescribed mode is unenforceable." (Katsura, supra, 155 Cal.App.4th at pp. 108–109, citing Los Angeles Dredging Co. v. City of Long Beach (1930) 210 Cal.

348, 353; see *Amelco Electric v. City of Thousand Oaks* (2002) 27 Cal.4th 228, 242 [“public works contracts are the subject of intensive statutory regulation and lack the freedom of modification present in private party contracts.”].) “Persons dealing with a public agency are presumed to know the law with respect to any agency’s authority to contract.” (*Katsura*, supra, 155 Cal.App.4th at p. 109.) In other words, “[o]ne who deals with the public officer stands presumptively charged with a full knowledge of that officer’s powers, and is bound at his ... peril to ascertain the extent of his ... powers to bind the government for which he ... is an officer, and any act of an officer to be valid must find express authority in the law or be necessarily incidental to a power expressly granted.” (*Katsura*, supra, 155 Cal.App.4th at p. 109, citing *Burchett v. City of Newport Beach* (1995) 33 Cal.App.4th 1472, 1479 (*Burchett*).) ““No government, whether state or local, is bound to any extent by an officer’s acts in excess of his ... authority.”” (*Katsura*, supra, 155 Cal.App.4th at p. 109, citing *Burchett*, supra, 33 Cal.App.4th at p. 1479.)

Here,

the Contract expressly outlines the requirements for altering or amending the Contract’s terms, including the Maximum Obligation. (See Def. Exh. 2, § 8.) Section 8(A) provides, in relevant part, that “[n]o addition to, or alteration of, the terms of this Contract, whether by written or verbal understanding of the parties, their officers, employees or agents, shall be valid and effective unless made in the form of a written amendment to this Contract which is formally approved and executed by the parties in the same manner as this Contract.” (*Id.* § 8(A), italics added.) Section 8(B) provides, in relevant part, “[t]he County reserves the right to add and/or change ... provisions as required by the County’s Board of Supervisors, Chief Executive Officer, or State or federal entity, law, or regulation. To implement such changes, an Amendment to the Contract shall be prepared by Director and executed by the Contractor and Director, as authorized by the County’s Board of Supervisors.” (*Id.* § 8(B), italics added.) Section 8(C) permits amendments of limited provisions, including the County’s annual maximum authority and funding adjustments, where the County’s Board of Supervisors has delegated authority to the Director to make such amendment and in such circumstances, “an Amendment shall be prepared by Director and executed by the Contractor and Director, as authorized by the County’s Board of Supervisors...” (*Id.* § 8(C).)[7] Based on these provisions, the plain language of Section 8 requires modifications to the Contract terms, including changes to any funding-related obligations, to be in writing, prepared by the Director of Public Health, executed by the

Contractor (LHR) and Director of Public Health, and authorized by the County's Board of Supervisors. (Id. § 8.)

In this

case, there is no dispute that Amendment Nos. 1-4 were validly executed in compliance with the requirements set forth under Section 8. (Deniz Decl., ¶¶ 12-15; Def. Exhs. 3-6; FAC, ¶¶ 8-11.) LHR's compliance with Section 8 with respect to the execution of the Contract and Amendment Nos. 1-4 suggests that LHR had actual knowledge of the express requirements for formally amending the Contract. Similarly, in *Katsura*, the court reasoned that the plaintiff could not recover for informally authorized work because he had "actual knowledge of the process for obtaining authorization for extra work," and he "acknowledged that he had a previous contract with the city involving the same project and submitted written requests authorizing extra work in compliance with the provisions of the contract." (*Katsura*, supra, 155 Cal.App.4th at p. 111.) Likewise, here, LHR's express consent to Section 8 in the Contract, its subsequent execution of four additional amendments, and its application for the Recovery Bridge Amendment provides strong evidence that LHR actually knew what steps were required for the County to execute a legally binding Contract modification.

Yet, the

County contends that there were no additional formally executed contract amendments (meeting the requirements of Section 8) which increased the County's Maximum Obligation for the 2023-2024 fiscal year beyond the authority in Amendment No. 4. (Deniz Decl., ¶¶ 11, 15, 18-19; Def. Exh. 6.) Meanwhile, LHR fails to offer adequate admissible evidence of an executed amendment for such a change. At most, even if the Recovery Bridge Amendment alleged in the FAC was valid (which LHR fails to demonstrate, as discussed infra), LHR submits no evidence that the Recovery Bridge Amendment itself altered the Maximum Obligation in Amendment No. 4. (Mot., at p. 10; Deniz Decl., ¶ 15; Def. Exh. 6; see infra, Section I.A.3.)

Even considering

LHR's waiver theory in the light most favorable to LHR, there is insufficient evidence to conclude that the so-called "pre-authorization" for treatment, billing submissions, and payments constitutes a binding contractual commitment to make payments to LHR beyond the value of the Maximum Obligation. Critically, LHR identifies no provision in the Contract which necessarily entitles LHR to payment for all pre-approved or pre-authorized services. To the

contrary, Section 3(E) provides, “[i]f the Contractor provides any tasks, deliverables, goods, services, or other work, other than as specified in this Contract, the same shall be deemed to be a gratuitous effort on the part of the Contractor, and the Contractor shall have no claim whatsoever against the County.” (Def. Exh. 2, § 3(E), italics added.) Here, LHR has submitted no evidence to suggest that the so-called “pre-authorization” for services valued beyond the Maximum Obligation was, in fact, authorized in the manner specified in Section 8 to warrant a modification of the County’s underlying payment obligation. (See Def. Exh. 2, § 8.) Further, LHR’s own evidence suggests that the “pre-approval and pre-authorization” for services cannot have constituted an admission by the County that LHR would be necessarily entitled to payment for such services because the mere “pre-approval and pre-authorization” did not require a showing that LHR had yet performed those treatments, that LHR properly billed for the services, or that LHR provided adequate documentation to qualify for reimbursement. (Jackson Zeno Decl., ¶¶ 5-11; Brown Decl., ¶¶ 7-8, 11-14, 16-21.) Likewise, even if Section 6(H) allows LHR to submit outstanding invoices after the end of the Contract term, this provision neither authorizes nor guarantees payments for such invoices beyond the Maximum Obligation. (Def. Exh. 2, § 6(H).) In other words, the County’s pre-authorization practice appears to indicate only that LHR would be eligible to seek reimbursement for such services, subject to LHR’s compliance with the Contract. This is not at all inconsistent with the finding that LHR’s eligibility to demand reimbursement for pre-authorized services was also limited by the County’s annual Maximum Obligation.

Meanwhile,

LHR has not identified any legal authority to support its position that a party contracting with a public entity is entitled to recover more than a public entity’s maximum contractual commitment based on a “waiver” theory.^[8] LHR’s waiver theory is essentially that, by the County’s conduct alone, unrelated to any formal amendment of the Contract to augment the Maximum Obligation, the County impliedly agreed to pay LHR for services in amounts that extend beyond the County’s Maximum Obligation. However, as there is no evidence of an express contractual modification related to the Maximum Obligation, LHR’s waiver argument improperly seeks to relitigate the quantum meruit theory that was already dismissed on the pleadings. (Katsura, supra, 155 Cal.App.4th at p. 110, citing Reams v. Cooley (1915) 171 Cal. 150, 156–157 “[N]o implied liability to pay upon a quantum meruit could exist where the prohibition of the statute against contracting in any other manner than as prescribed is disregarded.”); P&D Consultants, supra, 190 Cal.App.4th at p. 1344,

citing Katsura, supra, 155 Cal.App.4th at p. 109 [“It is well settled that when a written change order requirement is not met, ‘a private party cannot sue a public entity on an implied-in-law or quasi-contract theory, because such a theory is based on quantum meruit or restitution considerations which are outweighed by the need to protect and limit a public entity’s contractual obligations.’”].)

For the aforementioned reasons, the Court finds that LHR fails to demonstrate either: (1) that the County waived its Maximum Obligation for the 2023-2024 fiscal year or (2) the existence of any binding contractual obligation requiring the County to pay LHR for services beyond the value of the Maximum Obligation for the 2023-2024 fiscal year, as defined in Amendment No. 4.

3. LHR Fails to Raise a Triable Factual Dispute as to Whether the Alleged “Recovery Bridge Amendment” is an Enforceable Contract Amendment

The County also disputes LHR’s allegation that the Recovery Bridge Amendment was a validly executed amendment to the Contract, arguing that the purported Recovery Bridge Amendment was not formally executed in compliance with the Contract’s modification requirements. (Mot., at p. 9; see FAC, ¶¶ 13, 22, 24.)

As discussed above, the Contract itself expressly required modifications to the terms, including alterations of the County’s payment obligations, to be executed in writing, authorized by the County’s Board of Supervisors, and signed by both LHR and the Director of Public Health. (Def. Exh. 2, § 8; Deniz Decl., ¶ 8.) The County argues that the alleged “Recovery Bridge Amendment” letter identified as Exhibit F in the FAC[9] is not a formally executed contract amendment, but a preliminary notification that LHR’s application for an amendment had been approved. (Mot., at pp. 9-10.) Indeed, the October 31, 2023 letter from the County plainly indicates that it is a confirmation that LHR’s requested contract change had been received, reviewed, and approved. (Frankian Decl., Exh. 1; see FAC, Exh. F.) The letter is clear that the County had not yet processed the requested amendment, which could take “up to four months,” and that service authorization could only be submitted once the amendment had been “fully executed” and “fully configured,” indicating that no validly executed contract amendment yet existed at the time of the

letter. (Ibid.) Further, the letter itself is not signed by either LHR or the Director of Public Health, nor does the letter indicate authorization by the County's Board of Supervisors (it was sent by the Division Chief of the County's Contracts and Compliance Division). (Ibid.; see Deniz Decl., ¶ 21.) Consistent with the County's contention that the October 31, 2023 letter was not a formal contract amendment, the County also submits a second letter sent to LHR, dated January 22, 2024, which clarifies that the October 31, 2023 letter stated an "incorrect effective date" because LHR "did not have an existing RBH work order contract" and "new work order contracts are effective on the date of contract execution." (Def. Exh. 10.) The January 22, 2024 letter further invited LHR to "resubmit amendment request(s) and a new work order contract request" pending resolution of LHR's CAP. (Ibid.)

The

County's argument that the October 31, 2023 letter itself does not constitute a valid Contract amendment is further supported by Mr. Deniz's declaration, which explains the requirements for an RBH contract, distinguishes RBH work order contracts from the Drug Medi-Cal Contract at issue, denies that the parties ever executed the Recovery Bridge Amendment, and denies that LHR and the County had any contracts other than the Contract and Amendment Nos. 1-4. (Deniz Decl., ¶¶ 11, 21.) A comparison of the alleged "Recovery Bridge Amendment" to the requirements of Section 8, taken together with Mr. Deniz's declaration, provides sufficient prima facie evidence to overcome the County's moving burden of showing that the October 31, 2023 letter was not a valid or enforceable amendment to the Contract, as alleged by LHR. Thus, the burden shifts to LHR to raise a triable dispute that the Recovery Bridge Amendment was, in fact, part of the Contract with the County.

In

response, LHR argues that there is disputed evidence as to whether the County approved the Recovery Bridge Amendment such that it is an enforceable contractual obligation. (Opp., at 4.)^[10] Consistent with the County's position, Mr. Brown characterizes LHR's proposed Contract amendment (dated May 14, 2023) as an "application to the County to add an additional 24 beds at the [RBH] location" in Gorman, CA. (Brown Decl., ¶ 33, Exh. 6.) As described above, LHR contends that the County ultimately "approved" the Recovery Bridge Amendment and set an effective date of August 31, 2023, as described in the October 31, 2023 letter. (Id. ¶ 34; Frankian Decl., ¶¶ 9, 11, Exh. 1; Cohen Decl., Exh. 1, at pp. 79:5-22, 170:20-171:22, Exhs. 201, 203.) Further, Mr. Brown and Mr. Frankian both declare that the County did not

“deliver” the Recovery Bridge Amendment to LHR until January 7, 2024. (See Brown Decl., ¶ 35; See Frankian Decl., ¶ 10.) Even so, neither witness offers any explanation as to the meaning of “deliver” or to what extent the Recovery Bridge Amendment had been validly executed by early January 2024. Nor have the witnesses identified any documentary evidence indicating what was “delivered” in early January 2024 (i.e. A document? A letter? A contract?). These vague, self-serving declarations are therefore insufficient to create a triable dispute as to the formal execution of the Recovery Bridge Amendment, especially considering that LHR offers no evidence of actual compliance with Section 8 or any other writing evidencing the valid exaction of the purported contract amendment.

Instead

of presenting evidence of a written, fully executed Recovery Bridge Amendment (with signatures from both LHR and the Director of Public Health and authorization by the County's Board of Supervisors) LHR instead relies on an inference that the Recovery Bridge Amendment must have been enforceable based on the parties' conduct. For example, LHR argues that it undertook improvements on the RBH location, underwent inspections, and made further repairs to support its application before the alleged Recovery Bridge Amendment was executed. (Frankian Decl., ¶¶ 7-8; Brown Decl., ¶ 34; Cohen Decl., Exh. 3, at pp. 142:20-143:10, 181:2-6, 181:25-182:3, 234:23-250.) However, LHR's conduct to support its application for a contract amendment is immaterial to the question of whether a valid amendment was ultimately executed in compliance with Section 8. Additionally, LHR contends that the County made partial payments for RBH services in response to LHR's August 2024 billing submissions. (Brown Decl., ¶ 38; Frankian Decl., ¶ 14.) Even so, LHR submits no evidence as to what proportion of this payment, if any, actually exceeded the County's Maximum Obligation. In any event, as addressed above, LHR offers no legal authority for the implication that the County's apparent willingness to reimburse LHR for services beyond the Maximum Obligation confers a binding obligation to reimburse LHR for all such services.

Ultimately,

LHR's evidence fails to overcome the central contract formation issue raised by the County. None of the evidence submitted by LHR is sufficient to support LHR's allegations that the Recovery Bridge Amendment was a validly executed amendment to the Contract. (FAC, ¶¶ 13, 22, Exh. F.) There is no evidence before the Court to indicate that a copy of the Recovery Bridge Amendment was formally approved by the County's Board of Supervisors, or that a written

agreement was signed by LHR and the Director of Public Health in compliance with Section 8. (Def. Exh. 2, § 8.) Like the “pre-approval and pre-authorization” of services discussed above, the County’s mere approval of LHR’s RBH application does not constitute a binding, fully executed contract. Rather, the letter is merely confirmation that the County intended to proceed with formalizing such an amendment. To permit LHR to enforce an alleged payment obligation based on mere “authorization” without establishing actual compliance with the Contract’s express procedures for modification would deviate from the Court’s reasoning in Katsura and P&D Consultants and the policies underlying the strict requirements for municipal contracts.

Finally, even if LHR could raise a triable dispute as to whether the Recovery Bridge Amendment was validly executed, LHR still has not established that any terms of the Recovery Bridge Amendment have the effect of modifying the County’s Maximum Obligation for the 2023-2024 fiscal year. (Frankian Decl., Exh. 1.) To the contrary, the Amendment Request Form for the Recovery Bridge Amendment excludes a “Funding Augmentation” request and only requests permission for LHR to perform services at a new treatment site. (Cohen Decl., Exh. 1, at Exhs. 201, 203.) The County’s mere approval of a new RBH location does not amount to assent to an increase in the County’s Maximum Obligation.

Accordingly, LHR fails to raise a triable issue of fact as to whether the Contract was amended to either include the Recovery Bridge Amendment or to otherwise extend the County’s Maximum Obligation to include “pre-approved and pre-authorized” services not expressly included in a written, formally executed Contract amendment. LHR also fails to dispute that the County performed its obligation to LHR under the Contract by paying the Maximum Obligation in full to LHR. (See *supra*, Section I.A.1.) As LHR fails to demonstrate the existence of an express contract entitling LHR to payments beyond the County’s Maximum Obligation and LHR fails to dispute that the County did not perform its express duties under the Contract, LHR is unable to establish a claim for breach of the written Contract as a matter of law.

B.

2nd

Cause of Action: Breach of the Implied Covenant of Good Faith and Fair Dealing — GRANTED

No

triable issues of material fact exist with respect to LHR's breach of the implied covenant claim. In its second cause of action, LHR alleges that the County breached the implied covenant during the auditing process by failing to respond to LHR's document submission and review inquiry, only to wait until 5 days before the Contract's expiration to inform LHR that it was "missing 1 Sysco Invoice" and that LHR had "submitted a depreciation form that had been submitted prior to the Audit," and later denying LHR's Augmentation application. (FAC, ¶ 29.) LHR further alleges that the County decided not to extend the Contract term based on "fabricated lies," including false accusations of rape and death at LHR's facility and LHR's financial viability. (Id. ¶ 31.) In other words, LHR alleges that the County exercised its discretion in the audit review process in bad faith, which put the County in an advantaged position where it was able to pretextually deny LHR's payments under the contract, thereby frustrating the point of the review process. (Id. ¶¶ 27-31.)

The County argues that it could not have breached the implied covenant because LHR did, in fact, receive the full benefit of the Contract. (Mot., at p. 11.) It is well established that "[t]he covenant of good faith and fair dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made." (Guz v. Bechtel Nat. Inc. (2000) 24 Cal.4th 317, 349–350 (Guz).) Thus, the implied covenant "cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." (Id. at p. 350.) "[A] plaintiff must show, at a minimum, benefits were delayed or withheld ... 'Where benefits are fully and promptly paid, no action lies for breach of the implied covenant—no matter how hostile or egregious the [defendant's] conduct...' (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1152, fn. 10.)

Here, based on the analysis above, the Court finds that LHR fails to raise any factual dispute regarding either the scope of the County's express payment obligation to LHR under the Contract and Amendment No. 4 or the County's compliance with its Maximum Obligation for the 2023-2024 year. (See *supra*, Section I.A.) The County has shown that it must prevail on LHR's breach of contract claim because LHR fails to dispute that the County paid in full the Maximum Obligation and cannot demonstrate that the County either waived the right to limit its payment to the Maximum Obligation through its conduct or increased the Maximum Obligation by valid amendment to the Contract. (Ibid.)

Because the undisputed facts show that the County fully performed its payment obligation under the Contract, the Court finds that the County has overcome its moving burden of demonstrating that LHR cannot establish its implied covenant claim because LHR received the benefit of the bargain.

In response, while LHR broadly argues that there is a triable dispute over whether LHR received the benefits of the Contract, LHR does not identify the specific contract right, beyond the Maximum Obligation, that it allegedly did not receive. (Opp., at pp. 4-5.) Instead, LHR argues that the County acted in “bad faith” because it: (1) denied LHR’s access to the SAGE system for billing corrections, (2) placed LHR on CARD, (3) denied LHR’s CAP and Augmentation application, and (4) did not renew the Contract “based upon known lies.” (Opp., at p. 6.) However, none of these arguments articulate how LHR did not receive the benefit owed by the County under the express written Contract.

For example, it is undisputed that the parties expressly agreed that the Contract term would expire by its own terms on June 30, 2024, unless terminated or extended. As set forth in Section 4: “The term of this Contract shall be effective upon execution through June 30, 2024, unless sooner terminated or extended, in whole or in part, as provided in this Contract.” (Def. Exh. 2, § 4.) LHR does not dispute that the County had no obligation to extend or renew the Contract past its initial term. Thus, even if the County had a pretextual motivation to not renew the Contract after the 2023-2024 fiscal year, such as the “fabricated lies” or the County’s concerns about LHR’s financial non-compliance, LHR concedes that the County was free to let the Contract expire. Under *Guz*, the implied covenant cannot impose an implied duty on the County to renew the Contract. (*Guz*, supra, 24 Cal.4th at p. 350.)

Likewise, there is no evidence to conclude that the County was contractually obligated to refrain from placing LHR on CARD. (Mot., at p. 11.)^[11] Thus, even if the County’s proffered reasoning for why it placed LHR on CARD was pretextual, as LHR contends, LHR cannot establish that the County’s decision unfairly frustrated LHR’s ability “to receive the benefits of the agreement actually made.” (*Guz*, supra, Cal.4th at pp. 349–350; see *Deniz Decl.*, ¶¶ 22, 27; see *Buenaventura Decl.*, ¶ 6.)

Even to the extent that the LHR alleges that the County denied LHR’s CAP and

Augmentation application in bad faith and “sandbagged” the audit review process, LHR fails to articulate how the County’s actions interfered with LHR’s then-existing rights under the Contract. (Brown Decl., ¶ 43; see FAC, ¶ 29.) It appears that LHR is arguing that the County impeded negotiations for further amendment of the Contract, through which LHR sought to augment the County’s payment obligations. However, LHR cannot state a claim for breach of the implied covenant based on proposed contract amendments that were never executed. LHR does not point to any specific provision in the Contract which required the County to readjust the Maximum Obligation in its discretion. Rather, such an adjustment would have required a formal Contract amendment and the mutual assent of both parties.

Ultimately, LHR’s arguments fail to provide a factually supported basis for liability beyond the Maximum Obligation and improperly seek to impose duties beyond what was required of the County under the Contract’s express limits. Because there is no factual dispute as to whether the County withheld performance or frustrated LHR’s actual rights under the Contract, LHR is unable to establish its claim for breach of the implied covenant of good faith and fair dealing as a matter of law. (Guz, supra, Cal.4th at pp. 349–350.)

Therefore, the County’s motion for summary judgment is GRANTED.

II. EVIDENTIARY OBJECTIONS

LHR objects to the Declaration of Claire Damon (no. 1-10), the Declaration of Daniel Deniz (nos. 1-22), and the Declaration of Theodore Buenaventura (nos. 1-6). The following evidentiary objections are SUSTAINED: [A] Declaration of Claire Damon: 1 (argumentative); and [B] Declaration of Daniel Deniz: 12 and 15 in part (at p. 4:19-20) (calls for a legal conclusion). The following evidentiary objections are OVERRULED: [A] Declaration of Claire Damon: 2-10; [B] Declaration of Daniel Deniz: 1-11, 13-14, 15 in part (at p. 4:20-22), and 16-22; and [C] Declaration of Theodore Buenaventura: 1-6.

The County objects to the Declaration of Artin Aghamalian (Paras. 3-13), the Declaration of Nicholas Brown (Paras. 7-59), the Declaration of Jeffrey A.

Cohen (Paras. 3-6), the Declaration of Alexander Frankian (Paras. 4, 7-17), the Declaration of Lisa Jackson Zeno (Paras. 4-11).

The

following evidentiary objections are SUSTAINED: [A] Declaration of Artin Aghamalian: 6 (vague); 7-8 (speculative; lacks foundation); 9 (improper opinion; lacks foundation; vague); and 10 (lack of foundation; relevance; vague); [B] Declaration of Nicholas Brown: 7 in part (at p. 2:18) (speculative; lack of personal knowledge); 8 in part (at p. 2:25-26), 11 in part (at “pre-authorized”) and 15 (vague; lacks foundation); 27 in part (at p. 5:15) (improper legal conclusion); 29-30 (relevance); 31 (vague; improper legal conclusion; lacks foundation); 32 (improper legal conclusion); 35 in part (at p. 6:15-16) (vague/ambiguous); 39 in part (at p. 7:8-10) and 42 in part (at p. 7:19-20) (improper legal conclusion, vague); 46 in part (at p. 8:9-10) (lack of personal knowledge, speculative); 47 (improper opinion, lack of foundation); 49 in part (at p. 8:26) (improper legal conclusion); 50 (hearsay, lack of foundation, improper opinion); 51-53 (hearsay); 54 (hearsay, lack of foundation); 55 and 57 in part (at p. 10:4-8) (improper legal conclusion, speculative); 58 (lack of foundation, speculative, relevance); and 59 (lack of foundation, speculative, vague); [D] Declaration of Alexander Frankian: 10 and 12 (vague/ambiguous, lack of foundation); and 15 in part (at p. 3: 22-23) and 17 (improper legal conclusion); and [E] Declaration of Lisa Jackson Zeno: 5 in part (at p. 2:7) and 6 in part (at p. 2:11) (lack of foundation).

The

following evidentiary objections are OVERRULED: [A] Declaration of Artin Aghamalian: 3-5 and 11-13; [B] Declaration of Nicholas Brown: 7 in part (at p. 2:19-23), 8 in part (at p. 2:24-25, 9-10, 11 in part, 12-14, 16-26, 27 in part (at p. 5:13-14), 28, 33-34, 35 in part (at p. 6:16-17), 36-38, 39 in part (at p. 5-7), 40-41, 42 in part (at p. 7:20-21), 43-45, 46 in part (at p. 10-14), 48, 49 in part (at p. 8:24-25), 56, and 57 in part (at p. 10:2-4); [C] Declaration of Jeffrey A. Cohen: 3, 4, 5, and 6; [D] Declaration of Alexander Frankian: 4, 7-9, 11, 13-14, 15 in part (at pp. 3:21, 3:23-24), and 16; and [E] Declaration of Lisa Jackson Zeno: 4, 5 in part (at p. 2:8-10), 6 in part (at p. 2:12-15), and 7-11.

III. REQUESTS

FOR JUDICIAL NOTICE

LHR

requests judicial notice of the operative FAC and all exhibits thereto. The Court takes judicial notice of the FAC pursuant to Evidence Code section 452, subdivision (d).

Defendant

County of Los Angeles to serve notice of ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR

emailed to counsel and posted to court website on 9/14/26 at 2 p.m.

[1] The FAC was filed following (1) the Court's ruling on the demurrers to the Third Amended Complaint by the County and Chang and (2) the Court's ruling on LHR's ex parte application for leave to amend the first cause of action for breach of written contract. (Minute Order, Mar. 5, 2026; Minute Order, Mar. 12, 2026.)

[2] The fifth and final cause of action in the FAC is only asserted against Defendant Alex Chang, not the County.

[3] Hereinafter, all references to Section numbers refer to sections of the base Contract unless otherwise specified.

[4]

It is

undisputed that the County complied with its payment obligations under the Contract for the 2021-2022 and 2022-2023 fiscal years. (Deniz Decl., ¶¶ 16-17; Brown Decl., ¶¶ 5-6.)

[5] LHR erroneously cites Section 5(H), but the page number and content of the relevant Contract provision indicate this was merely a typographical error. (Def. Exh. 2, at p. 10.)

[6] Section 6(H) states: "Upon expiration or prior termination of this Contract, Contractor shall submit, within 30 calendar days, any outstanding and/or final invoice(s) for processing and payment. Contractor's failure to submit any outstanding and/or final invoice(s) within

the specified period shall constitute Contractor's waiver to receive payment for any outstanding and/or final invoice(s)." (Def. Exh. 2, § 6(H).)

[7] As defined in the Contract's recitals, the "Director" refers to the County's Director of the Department of Public Health ("Public Health"). (Def. Exh. 2, at p. 1.)

[8] LHR's reliance on *Bastanchury v. Times-Mirror Co.* (1945) 68 Cal.App.2d 217, for example, is not relevant, as the contract there did not involve a public entity. (Opp., at p. 8.)

[9] LHR submits the letter into evidence as Exhibit 1 to the Declaration of Mr. Frankian. (Frankian Decl., ¶ 9, Exh. 1.)

[10] Notably, LHR's witness's characterization of the "Contract" as including all the documents pleaded in the FAC, including Exhibit F, is an inadmissible legal conclusion. (Brown Decl., ¶ 4; Frankian Decl., ¶ 5.)

[11] LHR was not placed in CARD until May 2025, almost one year after the Contract had expired. (FAC, ¶ 34; Brown Decl., ¶ 57.)